

THE BANKING SECTOR hasn't looked this strong in years. With assets worth ₹243 lakh crore, backed by strong asset quality, robust capital buffers, soaring profitability, and the Reserve Bank of India's (RBI) proactive measures towards improving banks' governance frameworks, one would expect smooth sailing ahead. But why are bankers fidgety?

That's because they must contend with headwinds in the retail banking space, subdued private capex, falling low-cost deposit growth, competition from major corporates in the NBFC space, and must comply with the evolving regulations of a vigilant regulator.

That said, the best in the space will thrive. And the 28th edition of the BT-KPMG Best Banks and NBFCs Survey 2022-23 is proof of that. The study celebrates those that have weathered the storms in FY23, innovated in products and services, nurtured talent, and leveraged the strengths of fintech or technology partners to prepare for the future. (See box 'Meet the Brightest Stars').

But pain points persist. Here are the significant ones.

RETAIL BANKING PANGS

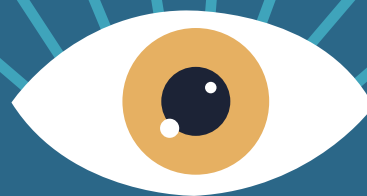
In recent years, the banking industry has seen a significant increase in retail assets, driven primarily by the rapid growth of the unsecured loan book—think personal loans, credit cards, and micro loans. Sensing the possibility of overheating, the RBI has increased the risk weights for unsecured loans, requiring higher capital allocation for both banks and NBFCs. This is expected to slow consumer lending and reduce yields, as unsecured loans typically offer higher returns than mortgages.

"While economic growth remains strong, any sustained slowdown could see a sharp spike in non-performing assets (NPAs)," says Deepak Jasani, Head of Retail Research at HDFC Securities, adding that banks need to fine-tune their credit appraisal systems to protect themselves from NPAs in the unsecured book. At the same time, banks are scaling up under-penetrated businesses that offer potential for growth, such as business loans, MSME loans, consumer durables loans, and micro loans.

PRIVATE CAPEX STRUGGLES

On the corporate front, loan activity remains subdued because of delayed capital expenditure by India Inc., despite government spending and the production-linked incentive (PLI) scheme. But there are signs of a pick-up as listed firms have reported double-digit growth in overall capex on a trailing 12 months basis as of September 2023, says Amey Sathe, Fund Manager at Tata Mutual Fund. "We expect private capex to pick up sharply, especially in the second half of FY25," he says. Bankers also point towards a lending uptick in segments such as renewables, roads and ports, and construction.

Bankers say corporate lending has evolved beyond



MEET THE BRI

Jury Winners

- **BANK OF THE YEAR**
HDFC Bank & ICICI Bank
(Joint Winners)
- **LIFETIME ACHIEVEMENT AWARD**
Uday Kotak, Founder & Director,
Kotak Mahindra Bank
- **BEST BANK IN INNOVATION**
Ujjivan Small Finance Bank
- **BEST BANK IN TALENT AND WORKFORCE**
Kotak Mahindra Bank
- **BEST BANK IN FINTECH INITIATIVE**
Federal Bank
- **BEST NBFC IN INNOVATION**
Tata Capital
- **BEST NBFC IN TALENT AND WORKFORCE**
Mahindra Finance
- **BEST FINTECH IN PAYMENTS**
Razorpay
- **BEST FINTECH IN VALUE ADDED SERVICES**
Perfios Software Solutions
- **BEST FINTECH IN LENDING**
Lendingkart

